Discrimination and Male-Female Earnings Differentials

EC306- Wages and Employment

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Goals of This Section

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Today we will:

- Discuss trends in male-female earnings differentials in Canada
- Introduce taste-based and statistical discrimination theories
- Explain supply-side and non-competitive theories of discrimination
- Learn the Oaxaca-Blinder decomposition to measure discrimination
- Review policies to address gender discrimination

Introduction

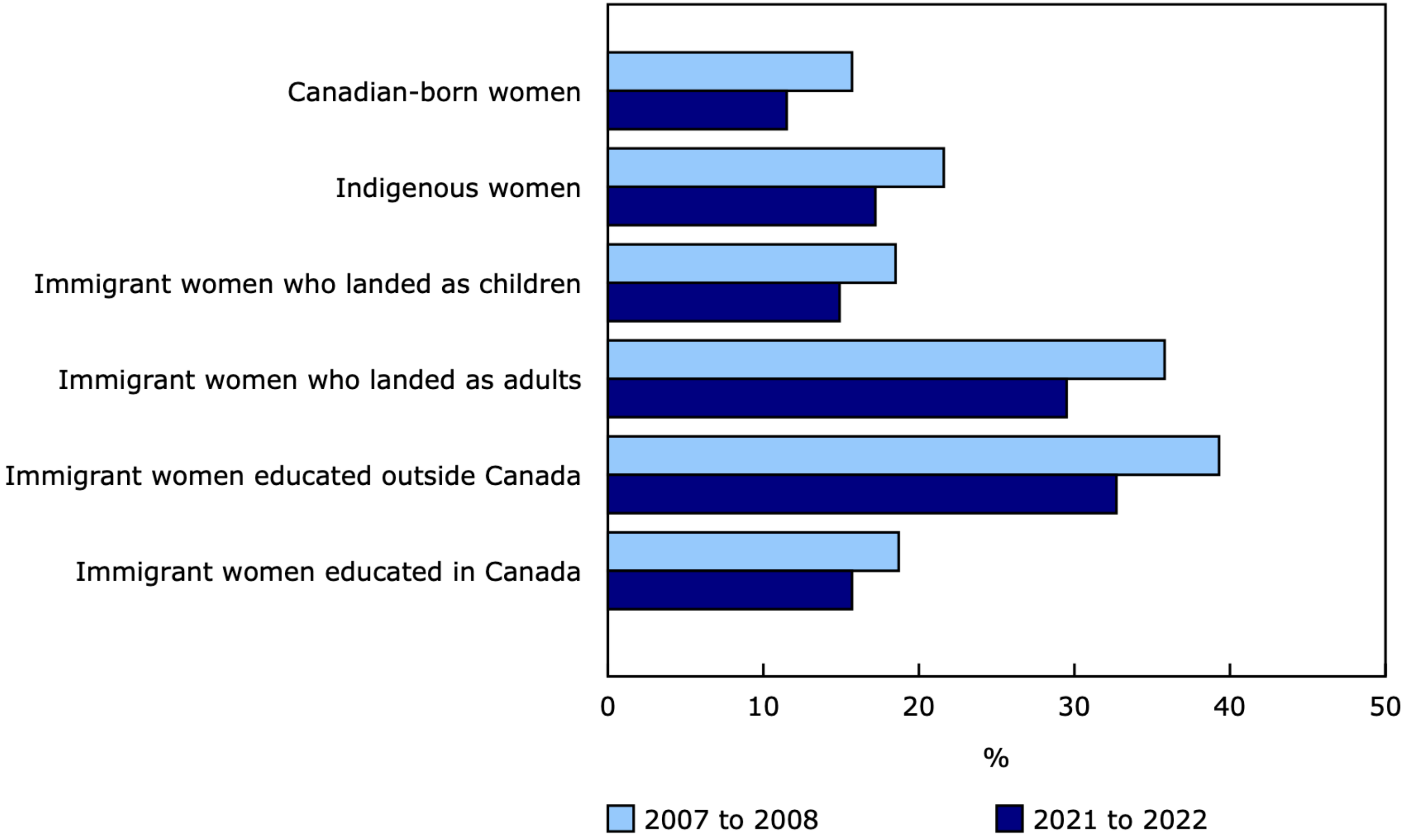
Male and Female Earnings

Male and Female Earnings

Note(s): "Canadian-born" refers to non-Indigenous workers born in Canada.
Source(s): Labour Force Survey (3701), March and September monthly files, 2007, 2008, 2021, and 2022.

Male and Female Earnings

Gap in average hourly wage relative to Canadian-born men among workers holding a bachelor's degree or higher, 2007 to 2008 and 2021 to 2022



Note(s): "Canadian-born" refers to non-Indigenous workers born in Canada.
Source(s): Labour Force Survey (3701), March and September monthly files, 2007, 2008, 2021, and 2022.

Male and Female Earnings

- Clearly men and women earn different amounts on average
- There are two broad explanations for this gap:
  1. Differences in characteristics (education, experience, occupation, industry, hours worked, etc.)
  2. Differences in returns to those characteristics (discrimination)
- Our models so far have not left room for discrimination
  - We treated all workers as the same
  - So there should not be any differences in returns

Male and Female Earnings

In this section, we explore economic theories of discrimination:

- Can come from employers, customers, co-workers
- Can be statistical or taste-based

Estimating discrimination empirically is difficult:

- Need to control for all relevant characteristics
- Need to separate differences in characteristics from differences in returns

Male and Female Earnings

Methods that can help:

- Oaxaca-Blinder decomposition
- Audit studies
- Field experiments

Demand Theories of Discrimination

Demand-Side Theories

Demand-side theories focus on the behaviour of employers in demanding labour.

Discrimination can happen for various reasons:

- Pure prejudice against female workers
- Customer preference to buy from male workers
- Male workers’ aversion to working with women

Warning

These all cause a fall in the demand for women relative to men in the labour market — reducing wages and employment of female workers

Taste-Based Discrimination

Becker (1957)

Taste-based discrimination: employers have a “taste” for discrimination — they behave as if hiring women is more costly than it actually is

- Firms produce according to: $y = f(N_m + N_w)$
- In a competitive market, profits are:

$$\pi = p \cdot f(N_m + N_w) - w_m N_m - w_w N_w$$

- Firms do not maximize profit strictly, but instead maximize:

$$U = \pi - d \cdot N_w$$

  - d measures the degree of discrimination
  - If $d = 0$: no discrimination; if $d > 0$: firms get disutility from hiring women

Taste-Based Discrimination

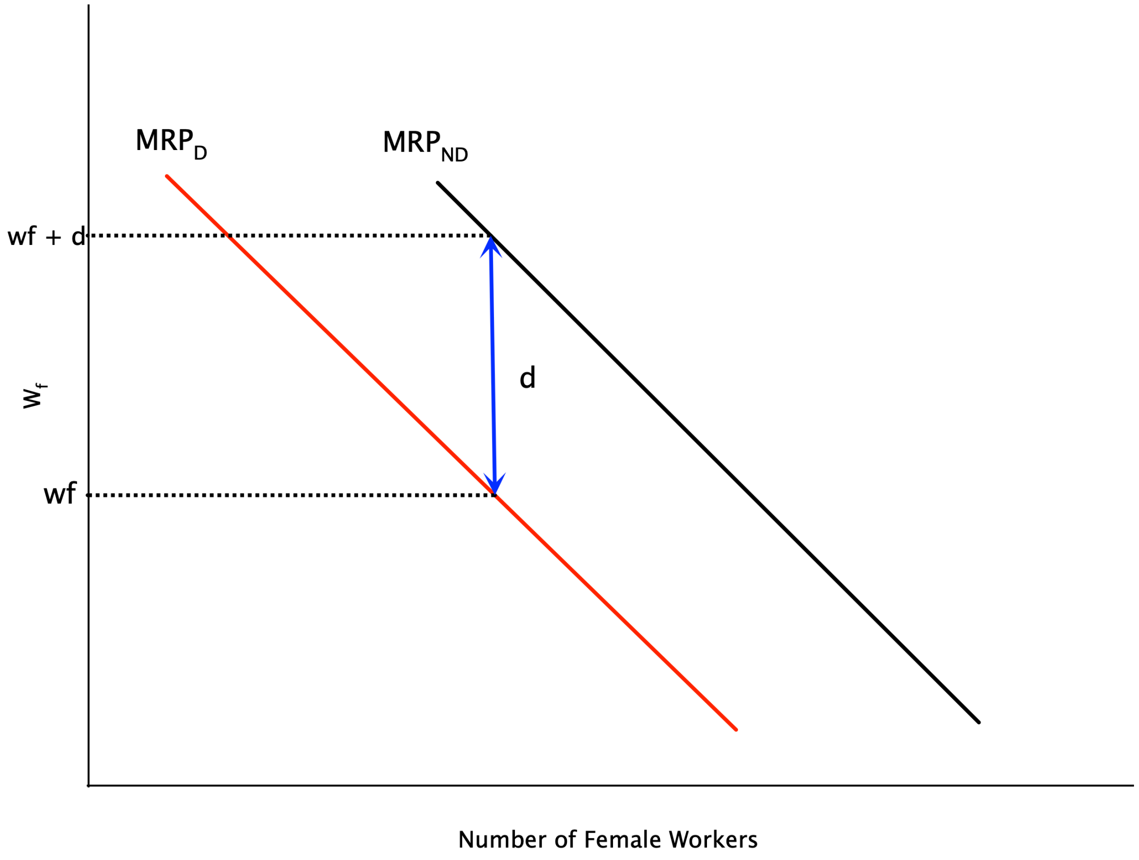
The first order conditions for utility maximization are:

$$p \cdot MP_{N_m} = w_m$$

$$p \cdot MP_{N_w} = w_w + d$$

- For both men and women, firms hire up to where VMP equals the effective cost of hiring
- But for women, there is an additional cost d due to discrimination
- If $w_m = w_f$ and men and women are equally productive, this implies firms hire fewer women
  - Discrimination drives a wedge between wages and the MRP

Taste-Based Discrimination

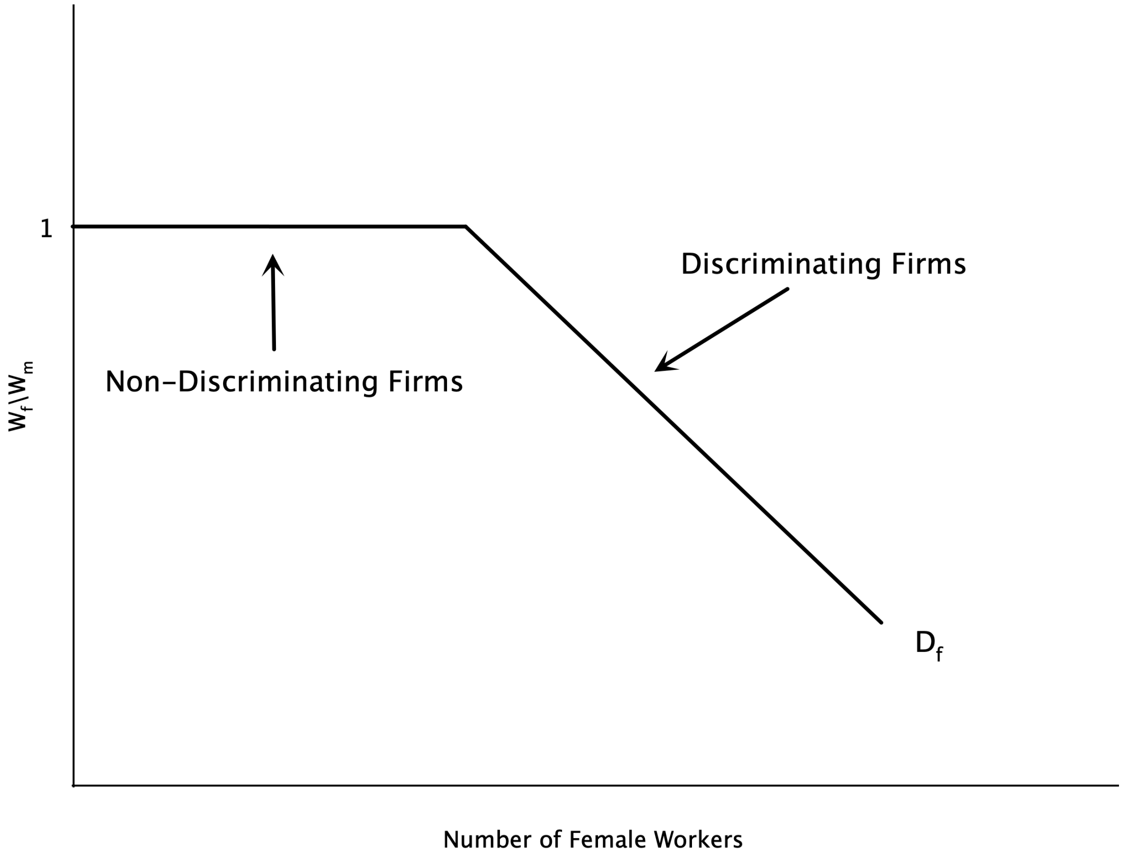


- Graph plots labour demand for women
- Discrimination shifts demand curve left
- Without discrimination: firm hires where $w_f = MRP_{ND}$
- With discrimination: firm hires where $w_f + d = MRP_D$
  - Or equivalently $w_f = MRP_D - d$
- Implies a lower level of female labour

Taste-Based Discrimination

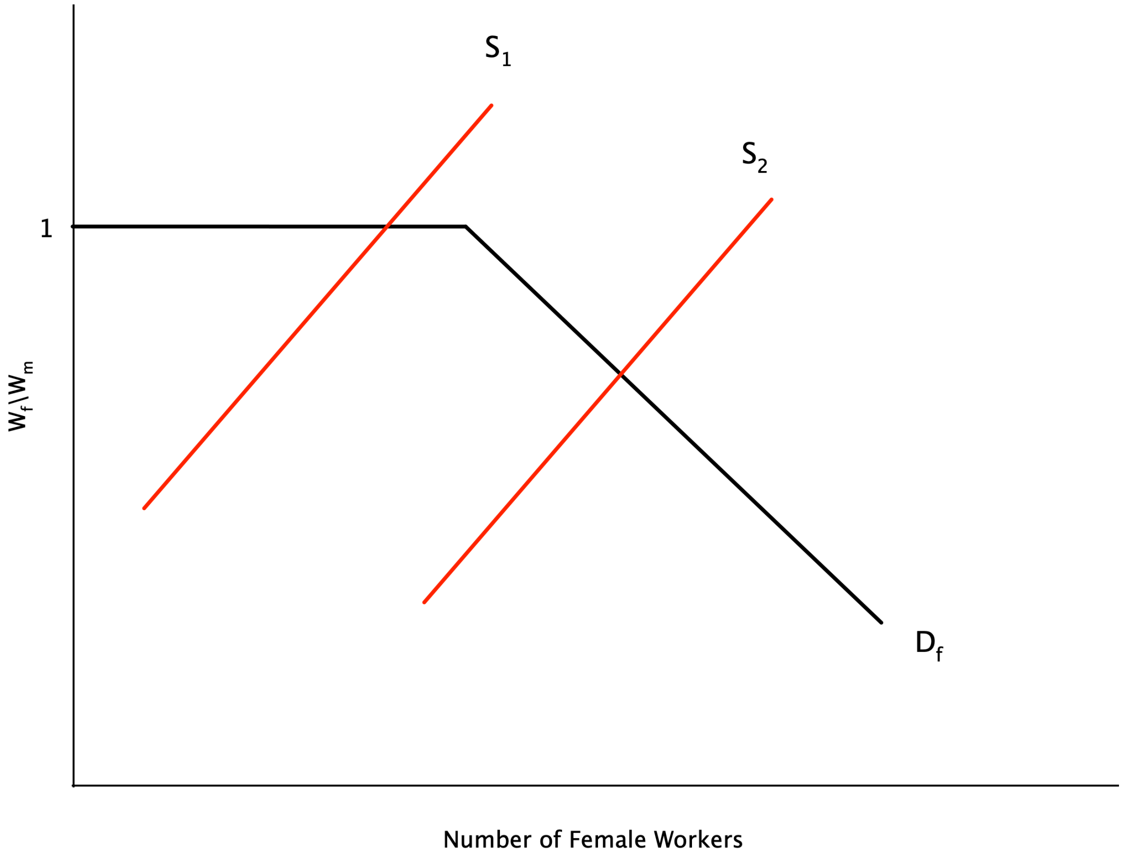
- Above analysis is for a single employer
- Employers discriminate along a spectrum — some have a high d, some have a low or no d
- Suppose women are able to seek out the non-discriminating employers
- If we order firms from lowest to highest by the amount of discrimination:
  - We can get the market demand curve by summing individual demand curves horizontally
- This demand curve is plotted on the next slide

Taste-Based Discrimination



- Vertical axis is the ratio of female to male wages
- For non-discriminating firms, this ratio is 1
  - A certain set of firms will hire women at this ratio (flat portion of demand curve)
- As the supply of women grows, they must work at more discriminating firms
  - These firms will only hire when the wage ratio falls

Taste-Based Discrimination



- If the supply of female labour is small enough, they can work at non-discriminating firms
  - Wage ratio is 1
- With a larger supply, some will have to work at discriminating firms
  - Wage ratio falls below 1
  - This is where the demand curve slopes downwards
  - Wage gap emerges

Statistical Discrimination

> **Statistical Discrimination**
>
> Statistical discrimination: firms use group characteristics to infer individual productivity
>
> - Arises because of imperfect information — employers do not know individual worker productivity perfectly
> - Instead they use signals to infer worker quality
> - If one group has lower average productivity (or a noisier signal), firms may pay them less on average

- Contrast with taste-based discrimination, which relies on employers having overt prejudice

Statistical Discrimination

Theory

Assume that the abilities of male and female workers are distributed with means $\bar{a}_m$ and $\bar{a}_f$. The firm has access to a signal of ability x for each person. Expected ability is:

$$a(x) = \bar{a} + \alpha(x - \bar{a})$$

Where α is the reliability of the signal:

- If $\alpha = 0$: the signal provides no information beyond the average
- If $\alpha = 1$: the signal is perfectly informative

Workers are paid a wage equal to their marginal revenue product

Statistical Discrimination

Paying workers their marginal revenue product implies:

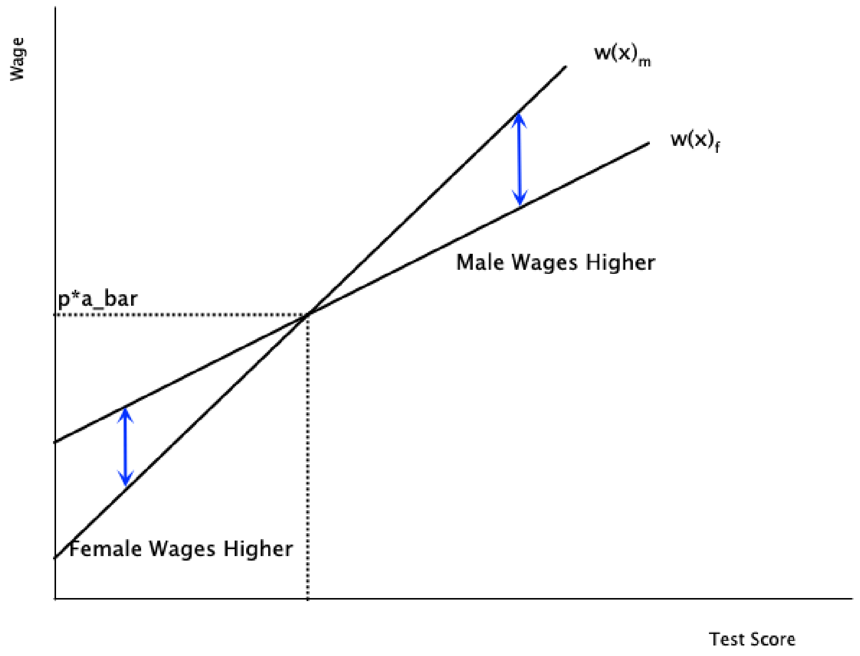
$$w(x) = pa(x) = p\bar{a} + p\alpha(x - \bar{a})$$

Assume $\bar{a}_m = \bar{a}_f$ (men and women are equally productive on average), but the signal is more reliable for men: $\alpha_m > \alpha_f$

Differences arise between workers who score the same on the signal:

- If a man and woman score above average ($x - \bar{a} > 0$), then men are paid more
- If a man and woman score below average ($x - \bar{a} < 0$), then women are paid more

Statistical Discrimination



- Male line is steeper because the signal is more reliable ($\alpha_m > \alpha_f$)
- For test scores above average: men are paid more
- For test scores below average: women are paid more
- At the average: they are paid the same

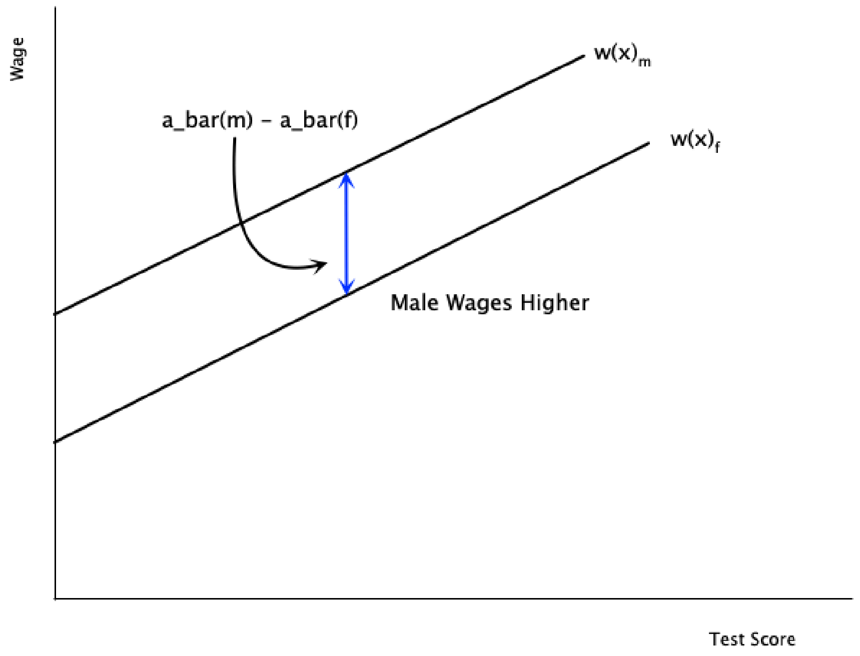
Statistical Discrimination

- There are no underlying differences between males and females
  - Differences in wages arise because of differences in the quality of the signal
  - Firms place more weight on average ability for female workers
  - Firms place more weight on the actual signal for male workers
- But where does the assumption $\alpha_m > \alpha_f$ come from?
  - Possibly related to prejudicial attitudes of firms
  - Some believe standardized tests favour males

Statistical Discrimination

- There may also be differences in $\bar{a}_m$ and $\bar{a}_f$
  - Possibly due to pre-market discrimination leading to lower human capital among women
- In this case, males are paid more at every signal level
- Wage differences do not necessarily arise from overt discrimination
  - They may originate in differences in information signals or average productivity
  - But it is difficult to explain why such differences in signal quality exist

Statistical Discrimination



- In this graph the quality of the signal is the same (equal slopes)
- But there are differences in average productivity
  - Male line lies above female line
- Men will be paid more because of the average difference

Supply Theories of Discrimination

Supply-Side Theories

- We discussed demand-side theories — focused on employer behaviour
- Discrimination may also arise on the labour supply side
  - Factors that affect where women choose or are able to work

Crowding Hypothesis

Crowding Hypothesis

Women are overrepresented in certain occupations, pushing up their labour supply in those occupations — which depresses wages relative to men

- Women are paid their marginal product
- But are corralled into a small set of jobs, which depresses wages

Dual Labour Market Theory

Dual Labour Market Theory

There are two distinct labour markets:

- Primary market: high wages, good working conditions, opportunities for advancement; unionized, stable, expanding
- Secondary market: low wages, poor working conditions, little opportunity for advancement; non-unionized, highly competitive, declining

Theory posits that women are concentrated in the secondary market — prejudice prevents women from entering the primary market

Lower Reservation Wages

Theory: female reservation wages are lower because:

- Costly to search for non-discriminating employers
- Job search is limited by strong household ties
- Ability to negotiate higher pay limited by lower threat of leaving

> **Note**
>
> With a lower reservation wage, women are more likely to be paid less — contributing to the pay gap
>
> Some empirical evidence supports this

Risk Aversion

- Large literature documenting that women are less aggressive/competitive in bargaining
  - Also less confident in their abilities
  - Evidence of this in many studies in economics and psychology
- Might mean women are less likely to compete for higher paying jobs

Differences in Preferences

May be differences in preferences for education, training, hours, work conditions, occupation — all of these are correlated with pay

⚠ The Endogeneity Problem

These choices are sometimes a product of discrimination — so it is hard to separate preferences from discrimination effects

Example: STEM fields pay well, but are male dominated — history of discrimination in this field may lead women not to choose it

Non-Competitive Theories of Discrimination

Non-Competitive Theories

- One issue with the above theories: they assume competitive markets
- Men and women are assumed to have equal productivity
- Discriminating firms hire fewer women because of prejudice
- But non-discriminating firms can hire more women at lower wages
  - Would increase their profits
  - Non-discriminating firms would bid up wages of women
  - Should close the gap

Non-Competitive Theories

Why Does the Gap Persist?

Non-competitive theories explain persistent wage gaps when markets are not perfectly competitive — due to monopsony power, imperfect information, search frictions, etc.

Imperfect Information

- Even if firms know they can increase profits by hiring more women, they might not be able to immediately change their workforce
  - Hiring and recruiting are costly — search frictions, quasi-fixed costs
- Firms may be slow to adjust to profit opportunities
- This can lead to persistent wage gaps
  - But does not explain why the gaps have persisted for so long

Queueing Theory

- Some firms pay efficiency wages
  - Wages above the market clearing level to increase productivity
- This results in a queue of workers wanting to work at the firm
- While rationing jobs, firms may discriminate

Political Pressure

- Sometimes market decisions are overridden by political pressures
- A male-centric government or union may:
  - Hire more men in government jobs
  - Be discriminatory with education and training
- The political pressure could come from interest groups
  - May have significant resources to lobby the government

Monopsony Power

- Monopsony gives firms power to set wages below competitive levels
- Monopsonies may take advantage of the relative immobility of women to lower their wages
  - Recall women may have stronger ties to household
- They may also try to pit men and women against each other
  - Create competition between the groups to lower wages

Systemic Discrimination

Systemic Discrimination

Discrimination is embedded in social and economic systems — has been going on for so long that it is now self-perpetuating

Could come from:

- Existence of “old boys” mentality
- Old job requirements that implicitly discriminate but continue to exist

Productivity Differences

Productivity Differences

- It may be the case that men and women have productivity differences
  - This could determine pay differences even in competitive markets
- Note: not *innate* productivity differences
- Differences coming from acquisition of human capital over time:
  - Education
  - Training
  - Work experience
- If human capital investments are a choice, then pay differences are not discrimination
- But it could be that choices are influenced by discrimination

Dual Role

- Traditionally women have more of a dual role than men — balancing household and market work
- If this continues to be true, then women:
  - Have less continuity in work (mainly from interruptions for children)
  - Are more likely to have periods of paid work and labour force withdrawals
- This leads to lower accumulation of human capital
  - Because there is less time to recoup the costs
- In some sense this is a rational choice — but is rooted in a society that does not accommodate enough for working mothers

Pre-Market Discrimination

Pre-Market Discrimination

Pre-market discrimination: discrimination that influences choices before workers even enter the labour market

- Education
- Training
- Career path

What looks like a rational choice is itself affected by discrimination

Example: STEM jobs pay well but are male dominated — women are discouraged from entering these fields, and thus do not have access to the higher pay that comes with them

Measuring Discrimination

Introduction

- Now that we have discussed theories of discrimination, how do we measure it?
- Difficult because in most cases discrimination is not directly observable
  - There is no “discrimination” variable in datasets
- Can design experiments to measure discrimination:
  - Audit studies
  - Field experiments
- But in most cases we have to rely on observational data

Introduction

- Measuring discrimination involves comparing people of equal productivity
  - So that any leftover wage differences could be due to discrimination
- But we do not observe productivity directly
- Instead, hold constant variables related to productivity:
  - Education
  - Experience
  - Occupation
  - Industry
  - Hours worked
- Then decompose the wage difference into part due to characteristics and part due to other factors

Blinder-Oaxaca Decomposition

Blinder-Oaxaca Decomposition

Method to decompose differences in average earnings between two groups into:

- Explained part: due to differences in characteristics (endowments)
- Unexplained part: due to differences in returns to those characteristics (potentially discrimination)

Suppose we estimate a regression of log earnings on observed characteristics for men and women:

$$\ln(Y_m) = \hat{\beta_m} \bar{X}_m$$

$$\ln(Y_f) = \hat{\beta_f} \bar{X}_f$$

Blinder-Oaxaca Decomposition

The difference in average log earnings is:

$$\ln(Y_m) - \ln(Y_f) = \hat{\beta_m}\bar{X}_m - \hat{\beta_f}\bar{X}_f$$

Add and subtract $\hat{\beta_m}\bar{X}_f$:

$$\ln(Y_m) - \ln(Y_f) = \underbrace{\hat{\beta_m}(\bar{X}_m - \bar{X}_f)}_{\text{explained}} + \underbrace{\bar{X}_f(\hat{\beta_m} - \hat{\beta_f})}_{\text{unexplained}}$$

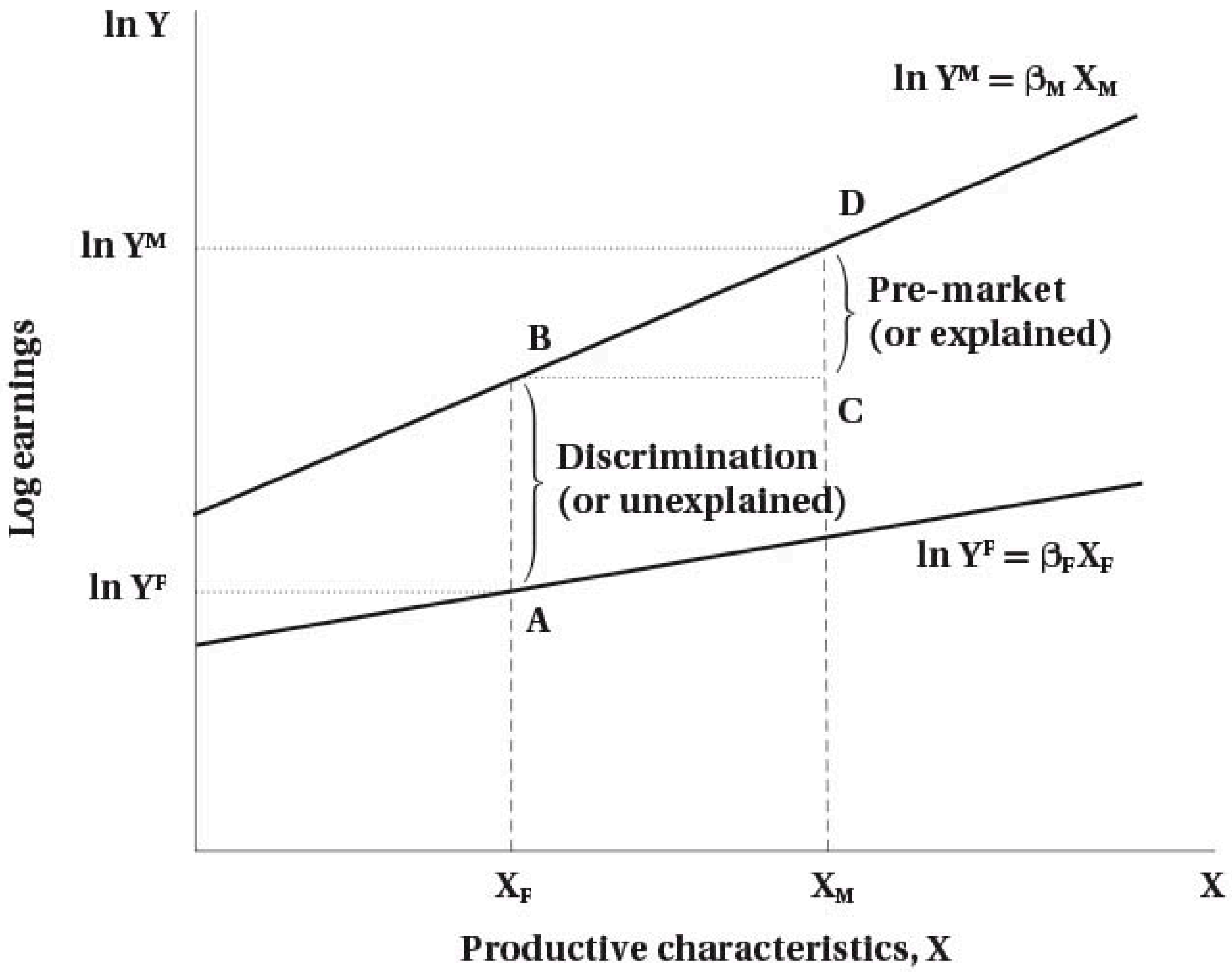
- Explained: holds slope constant at $\hat{\beta_m}$, looks at differences in average X
- Unexplained: holds average characteristics constant at $\bar{X}_f$, looks at differences in slopes (returns)

Blinder-Oaxaca Decomposition

Warning

Traditionally, the unexplained part is interpreted as discrimination — but could also be due to unobserved productivity differences

Blinder-Oaxaca Decomposition



Blinder-Oaxaca Decomposition

Suppose we have run the following regression separately for men and women:

$$\ln Y = \beta_0 + \beta_1 \text{Educ} + \beta_2 \text{Experience}$$

Estimated coefficients:

- Men: $\beta^M = (2.0,\ 0.10,\ 0.02)$
- Women: $\beta^F = (1.8,\ 0.08,\ 0.015)$

Blinder-Oaxaca Decomposition

Mean observed characteristics:

- Men: $\bar{\text{Educ}}_M = 14, \bar{\text{Exp}}_M = 15$
- Women: $\bar{\text{Educ}}_F = 13, \bar{\text{Exp}}_F = 12$

Average predicted log wage for men:

$$\ln \bar{Y}_M = 2.0 + 0.10 \cdot 14 + 0.02 \cdot 15 = 2.0 + 1.4 + 0.3 = 3.7$$

Blinder-Oaxaca Decomposition

Average predicted log wage for women:

$$\ln \bar{Y}_F = 1.8 + 0.08 \cdot 13 + 0.015 \cdot 12 = 1.8 + 1.04 + 0.18 = 3.02$$

The wage gap is therefore:

$$\ln \bar{Y}_M - \ln \bar{Y}_F = 3.70 - 3.02 = 0.68$$

This says that the wage gap is about 0.68 log points — roughly 68% higher wages for men

Blinder-Oaxaca Decomposition

We decompose: $\ln \bar{Y}_M - \ln \bar{Y}_F = \text{Explained} + \text{Unexplained}$

Explained (due to characteristics):

$$\text{Explained} = (\bar{X}_M - \bar{X}_F)\beta^M$$

Differences in means: Education: $14 - 13 = 1$, Experience: $15 - 12 = 3$

$$\text{Explained} = 1 \cdot 0.10 + 3 \cdot 0.02 = 0.10 + 0.06 = 0.16$$

About 0.16 log points of the gap are due to men having more education and experience.

Blinder-Oaxaca Decomposition

Unexplained (returns to characteristics):

$$\text{Unexplained (slopes)} = \bar{X}_F \, (\beta_M - \beta_F)$$

Coefficient differences: Education: $0.10 - 0.08 = 0.02$, Experience: $0.02 - 0.015 = 0.005$

$$\text{Unexplained (slopes)} = 13 \cdot 0.02 + 12 \cdot 0.005 = 0.26 + 0.06 = 0.32$$

Intercept difference: $\beta_{0M} - \beta_{0F} = 2.0 - 1.8 = 0.20$

Total unexplained: $0.32 + 0.20 = 0.52$

Blinder-Oaxaca Decomposition

Final Decomposition

$$0.68 = \underbrace{0.16}_{\text{explained (24\%)}} + \underbrace{0.52}_{\text{unexplained (76\%)}}$$

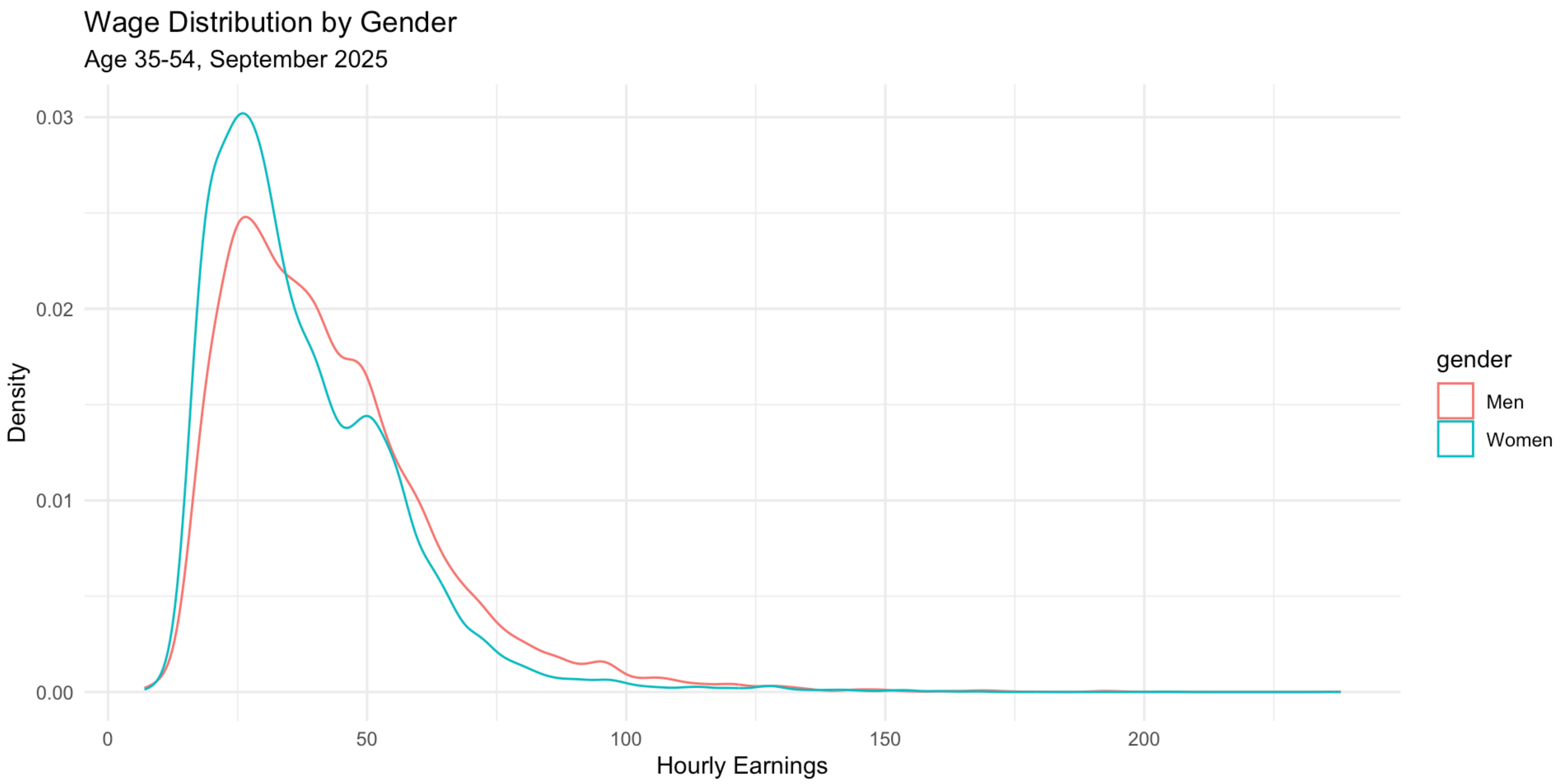
- Explained $(0.16$, ~24%): due to men having higher average education and experience
- Unexplained $(0.52$, ~76%): due to different returns to characteristics and intercept differences

Blinder-Oaxaca Decomposition

Here is an example using real data from Canada:

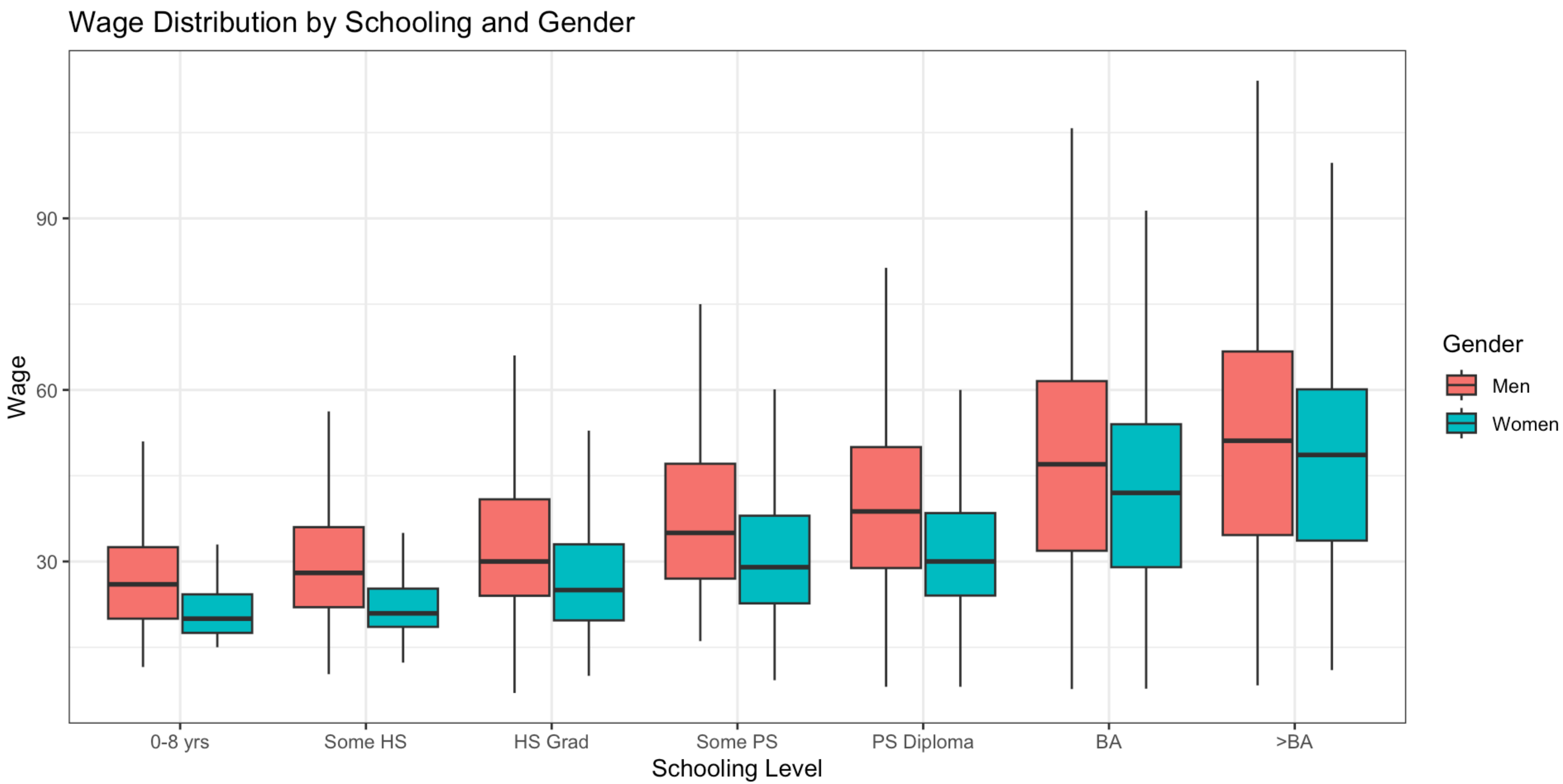
- Labour Force Survey from September 2025
- Restricted to people aged 35–54 with wages > 0
- First examine summary statistics, then run a regular regression, then the decomposition

Blinder-Oaxaca Decomposition

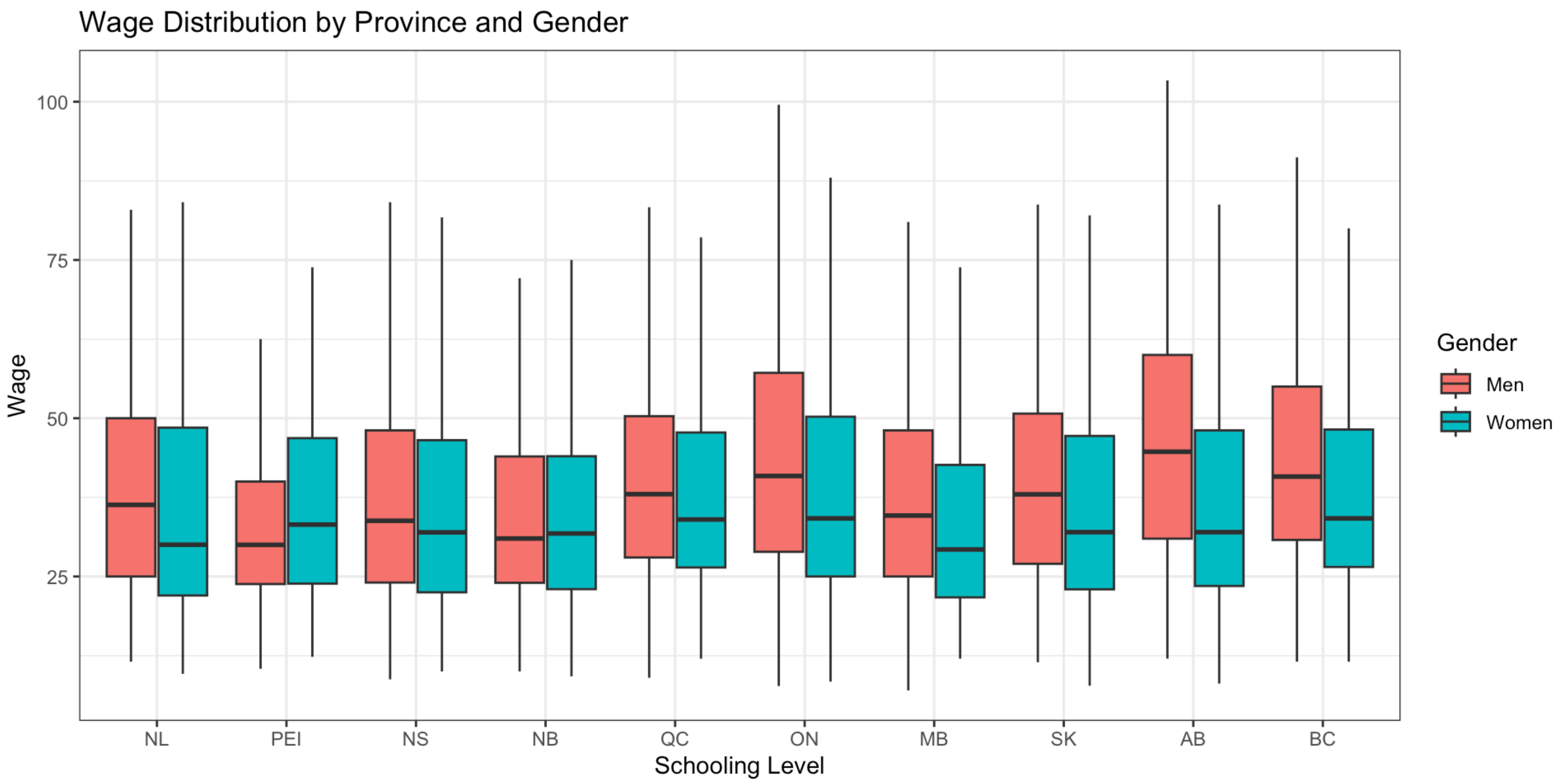


Blinder-Oaxaca Decomposition

Blinder-Oaxaca Decomposition



Blinder-Oaxaca Decomposition



Blinder-Oaxaca Decomposition

	Wage	Log Wage	Log Wage (with Controls)
Women	-5.032	-0.122	-0.174
	(0.247)	(0.006)	(0.005)
Num.Obs.	25233	25233	25233
R2	0.016	0.018	0.227
R2 Adj.	0.016	0.018	0.226
AIC	221896.5	212082.5	206091.9
BIC	221920.9	212106.9	206335.9
Log.Lik.	-110945.268	-15494.659	-12472.344
F	413.611	466.878	264.816
RMSE	19.65	0.45	0.40

Blinder-Oaxaca Decomposition

Component	Estimate
Overall Difference	0.122
Explained (Endowments)	-0.051
Unexplained (Coefficients)	0.173

Collider Bias

- Sometimes researchers control for variables in a regression to adjust the wage gap
  - What is the gap if we hold constant age, education, experience, occupation, industry, hours worked, etc.?
- The idea is to compare people who are the same on all relevant characteristics

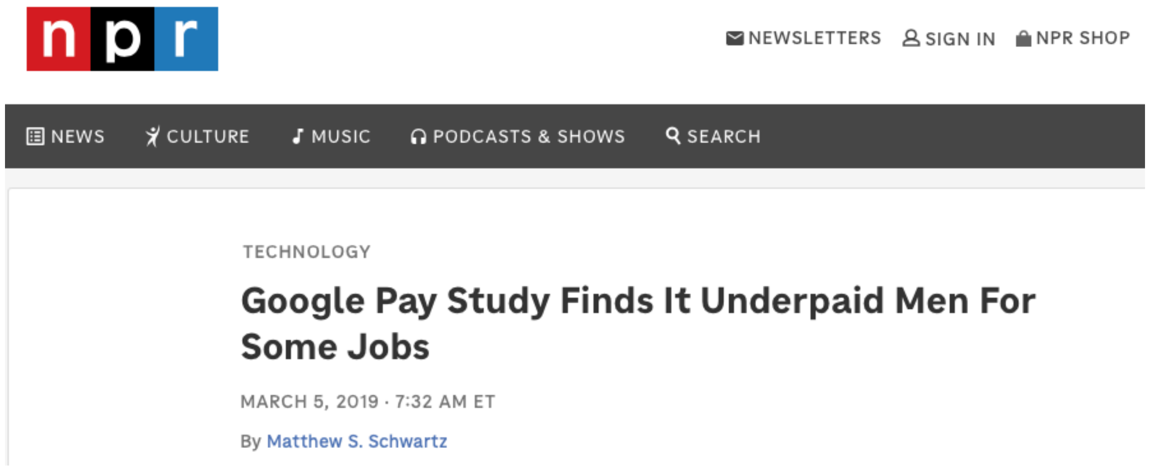
> ⚠ **Collider Bias**
>
> Collider bias: controlling for certain variables (like occupation) can actually **create bias** in discrimination estimates if those variables are themselves outcomes of discrimination

Collider Bias

Example — the tech industry:

- Men and women have equal ability in the general population
- Women face discrimination in tech, so to get the job they must have very high ability
- Men can enter even with moderate ability
- If you look at the wage gap in tech jobs, it might appear to favour women
  - In the same occupation, women will have higher ability because they had to overcome discrimination
  - Comparing men and women within occupation **creates** ability bias

Collider Bias



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TECHNOLOGY

Google Pay Study Finds It Underpaid Men For Some Jobs

MARCH 5, 2019 · 7:32 AM ET

By Matthew S. Schwartz

This happened at Google:

- There was a complaint that women were being underpaid
- An analysis found that **men** were underpaid
- A perfect example of collider bias
  - They looked within jobs
  - Women of very high ability were selected into those jobs
  - Their wages were higher because of that

Collider Bias

How to avoid collider bias:

Best Practice

Do not add variables that are outcomes of discrimination to the regression

- Occupation is often an outcome of discrimination
- Industry may also be an outcome

Instead include only predetermined characteristics: things that are not affected by discrimination — mainly basic demographics, possibly education and experience

Additional Evidence on Gender Pay Gaps

Introduction

- Significant statistical work has been done on this issue
  - Why? Its importance and availability of data
- We will briefly review some of the evidence here, with a focus on Canadian studies

Evidence

Key findings:

- Women in Canada earn about 60% of what men earn (unconditional gap)
- After controlling for characteristics, the gap shrinks to about 85%
- Pay gap is smaller in the public sector — pay practices are more egalitarian in government
- Gap has been falling over time — many factors could contribute
- Internationally, gaps are smaller with stronger bargaining structures
- Gap is smaller the more competitive the industry

Evidence

Additional findings:

- Occupational segregation does not explain a large part of the gap
  - Gap is explained more by *industry* than occupation
- Women face career penalties from family responsibilities
- Glass ceilings are an observed phenomenon
  - At the top end of the pay distribution, gaps are larger
  - Lots of international evidence of differences in career advancement
- Unions have a higher impact on women than men
  - Offset by the fact that women are less likely to be unionized

Evidence

- Mixed evidence on job-protected leave
  - Leave is good because it protects jobs for women
  - But might make employers less likely to hire women in the first place
  - Evidence shows it lowers wages for women in the U.S.
  - In Canada it increases job continuity
- Some evidence that gap grows with more work experience
  - Upon initial entry, gap is small
  - Grows over time

Other Groups

Introduction

- The same techniques used to analyze gender wage gaps can be used to estimate gaps for other groups
- This is usually done by race or ethnicity
  - U.S. studies have focused in particular on racial discrimination

Evidence for Other Groups

Indigenous peoples in Canada:

- About 85% of non-Indigenous wages off reserve
- Shrinks after controlling for characteristics

Ethnic-white wage gaps in Canada:

- Complicated by the fact that many non-white Canadians are also immigrants
- Immigration has its own independent effect on wages
- Controlling for this, gaps are very high — summarized on next slide

Evidence for Other Groups

TABLE 12.1 **Ethnic Wage Differentials, Various Groups Born in Canada or United States**

Black	South Asian[a]	Southeast Asian[b]	Chinese	Aboriginal
Canada				
Total gap 0.293	0.536	−0.022	0.193	0.179
"Discrimination" 0.171	0.222	0.023	0.058	0.091
United States				
Total gap 0.328	0.176	−0.079	−0.205	0.304
"Discrimination" 0.123	0.055	−0.007	−0.047	0.136

NOTES: The total gap is the percentage by which the earnings of whites exceed those of the ethnic group, reflecting both the differences in their wage-determining characteristics and the differences in pay for the same characteristics. The latter is the differences in the regression coefficients from an Oaxaca-type decomposition as discussed in the text, and is labelled here as "Discrimination."

[a] E.g., Bangladesh, India, Pakistan

[b] E.g., Philippines, Korea, Vietnam

SOURCE: Baker and Benjamin (1997, Tables 5 and 11, specification 3 including industry and occupation controls). Adapted from "Ethnicity, Foreign Birth and Earnings: A Canada/U.S. Comparison," (Dwayne Benjamin with Michael Baker) in *Transition and Structural Change in the North American Labour Market*, Queen's University, Industrial Relations Centre and John Deutsch Institute, 1997. Used with permission.

Evidence for Other Groups

Evidence in the U.S.:

- Large literature on Black-white wage gaps — about 68% of white wages
  - Shrinks when controlling for past test scores (measure of pre-market productivity)
  - Pre-market discrimination also plays a large role
  - Large component of discrimination remains
- Gaps favour Chinese and Southeast Asian workers — not the same in Canada

Policies to Combat Gender Discrimination

Introduction

- Gender discrimination has been an issue for a long time
- Several policies are enacted to combat it:
  - Equal pay
  - Equal employment opportunity
  - Policies to facilitate female employment

Equal Pay

Pay equity: requires that jobs which are substantially similar receive equal pay

- Looks at very similar jobs; minor differences are allowed
- Issue: deals with similar jobs in similar establishments — does not address equity issues across jobs/industries

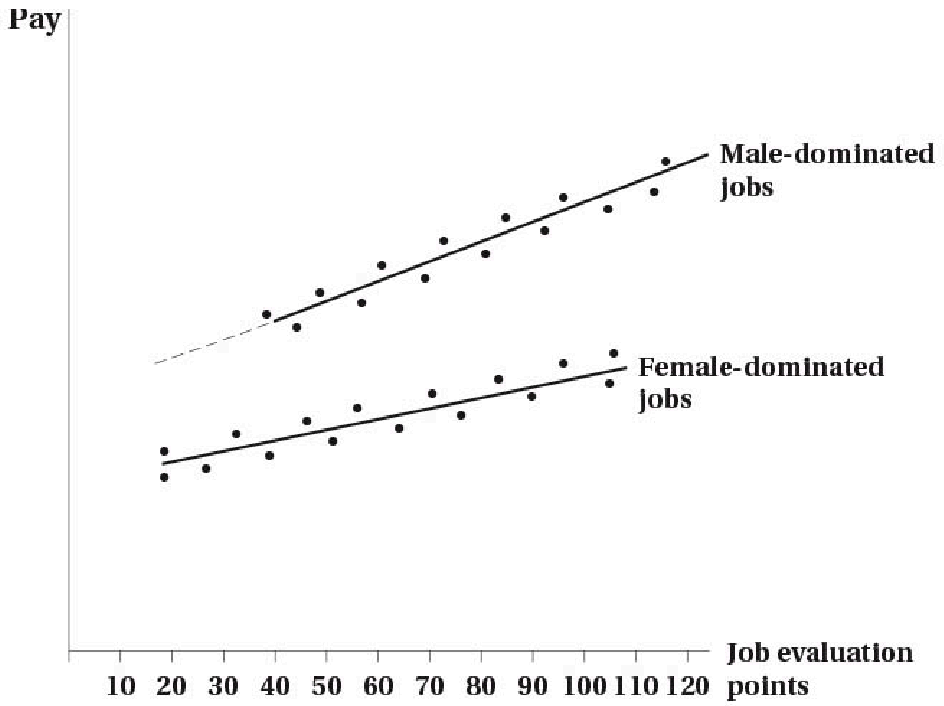
Equal pay for equal work: broadens the scope

- Assigns points to jobs based on skill, effort, responsibility, working conditions
- Jobs with similar points should receive similar pay
- Can apply to different occupations, but still in same firm/industry

Equal Pay

- Applies only to jobs that are predominantly male or female (>70%) — pay in female-dominated jobs adjusted to that of male-dominated jobs

Equal Pay



Equal pay for equal work example:

- Pay plotted against point scores
- In this example, male dominated jobs have generally higher pay
- Solutions could be:
  - Raise female line to male line
  - Raise female pay to male pay point-by-point for similar scores
  - Raise female points to male line at each point value

Equal Pay

Note

Equal pay for equal work is based on administrative concept of value (points for skill, effort, responsibility, working conditions) — **not** based on economic (market) value

- This is purposeful: market value reflects discrimination; administrative value tries to remove this

Equal Employment Opportunity

- Equal pay focused on equalizing wages
- Equal employment opportunity focuses on equalizing access to jobs
  - But by equalizing access, we also expect wages to equalize
- Key initiative is affirmative action (aka employment equity)

Equal Employment Opportunity

Affirmative Action

Generally involves preferential treatment for minority groups

- Intended to overcome past and current discrimination
- Designed to be used temporarily to restore balance

In Canada:

- Applies only to federal workforce (~10% of jobs)
- Applies to four targeted groups: women, visible minorities, disabled persons, indigenous peoples
- Continues to be very controversial

Facilitating Policies

Finally, there are policies that can help facilitate women in the workforce:

- Parental leave
- Child care subsidies
- Flexible work arrangements

Canada has done well on the first two — expansion of child care subsidies recently is a good example

Facilitating Policies

- Some consider expanding unionization to be a facilitating policy
  - Unions bargain for greater pay and working conditions
  - Expanding this to cover more women would help
  - May also generate more power for women to argue for other types of legislation
- Removing pay secrecy can also help
  - If employees know what others are paid, they can better negotiate
  - Pay secrecy tends to hide discrimination
  - Some jurisdictions have passed laws banning pay secrecy

Preference and Attitudes

- We saw that discrimination in part is due to preferences and attitudes
  - Taste-based discrimination is one example
- Could use public policy to try to change these attitudes:
  - Public awareness campaigns
  - Education programs
- Not clear how well this works

Impact of Policies

Introduction

- We have outlined the different anti-discrimination policies
- How effective are these policies?
- Relatively straightforward to analyze statistically
  - Use Program Evaluation techniques
  - Data generally available

Pay Equity

Pay Equity Effectiveness

- Generally ineffective in closing the gender gap
- Some evidence of an impact in the UK
- In the U.S., pay equity is difficult to disentangle from other civil rights legislation — effects are inconclusive

Equal Pay for Equal Work

- Analyzed mostly in the public sector
- Recall the legislation is limited in scope
  - Male/female dominated jobs in same firm/industry
- Policy shown to close about one-third of the gender gap in the public sector
  - Limited evidence in the private sector

Affirmative Action

- Affirmative action is most prominent in the U.S.
- Several studies have examined its effect:
  - Evidence that it helped employment opportunities of Black men
    - Were the main targets of the legislation in earlier years
  - In later years, helped both Black men and women
    - Targets were expanded in later years

Facilitating Policies

Evidence on Facilitating Policies

- Parental leave policies help create job continuity
- Subsidized child care increases female labour force participation — good evidence from Quebec
- Pay transparency reduces the gender gap by about 30% in academia — using evidence from the “sunshine list” in Ontario
- “Tenure clock stopping” policies reduce tenure rates for women — unintended consequence: men can increase productivity
- Banning criminal history questions hurt employment of Black men — increased use of discrimination

Summary

Summary

- Discrimination can arise from tastes (Becker), statistical discrimination, supply-side factors, and non-competitive markets
- Measuring discrimination is difficult because productivity is not observed
  - Blinder-Oaxaca decomposition is a common method
- Collider bias is a potential issue when controlling for variables that are themselves outcomes of discrimination
- There are a number of initiatives to reduce discrimination
  - Mixed evidence on their effectiveness